Dairy Cooperative Milk Procurement Pricing & Member Payment Engine

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1. Executive Summary & System Overview

The Milk Procurement Pricing and Member Payment Engine (PS-098) is an automated, command-file-driven back-end accounting and quality valuation system engineered for district cooperative milk unions. Operating at village collection societies twice daily (morning AM and evening PM shifts), the engine captures individual milk pourings from registered farmer-members, measures volume in liters, analyzes chemical quality (Fat and Solids-Not-Fat / SNF percentage), adjusts pricing based on receipt temperature, and immediately detects adulteration.

The core computational challenge centers upon a two-axis bi-linear interpolation algorithm over rate charts, paisa-level financial precision (half-up rounding), 10-day payment cycle batch closures (Cycles 1–10, 11–20, and 21–End of Month), complex seasonal incentive and penalty adjustments (lean bonuses vs. flush volume caps), feed advance amortizations, and loan EMI recoveries bounded by an unyielding Rs 500.00 farmer livelihood floor guarantee. Additionally, the engine audits chilling center bulk can rejections (sour milk reversals) and member analytical disputes with strict 24-hour SLA controls.

2. Glossary of Domain Terms

Domain Term	Cooperative Business Definition
District Milk Union	Apex administrative entity coordinating dairy procurement across village societies, operating bulk chilling centres, determining rate charts, and disbursing fortnightly member payments.
Village Collection Society	Grassroots rural collection centre where affiliated dairy farmers deliver milk twice daily. Societies earn commission (2.5%) and handling allowances (Rs 0.20/L) for milk intake operations.
Farmer Member	Registered cattle owner affiliated with a society who pours cow, buffalo, or mixed milk, holds an active ledger, and may service feed advances and cattle-purchase loan EMIs.
Pouring	Discrete milk delivery event occurring during a specific calendar date and shift (AM or PM), characterized by volume (litres), Fat%, SNF%, receipt temperature, and adulteration status.
Fat Percentage	Lipid mass concentration in milk. Determines basic classification (Cow if 3.0%–5.0%, Buffalo if >5.0%) or automatic rejection if below 3.0%.
Solids-Not-Fat (SNF)	Non-fat solid constituents (proteins, lactose, minerals) dissolved in milk. Standard minimums are 8.0% for Cow and 8.5% for Buffalo; substandard readings incur quality penalties.
Two-Axis Rate Chart	Matrix lookup table indexed by Fat and SNF steps of 0.1%. Defines the base reference monetary price per litre for cow and buffalo milk types.
Bi-linear Interpolation	Mathematical pricing technique linearly interpolating between discrete 0.1% grid steps along both Fat and SNF axes to price intermediate readings (e.g., 8.45% SNF) exactly to the paisa.
Adulteration Test	Mandatory diagnostic chemical screening. A positive result triggers immediate pouring rejection and a 7-calendar-day member suspension.
Member Suspension	Punitive 7-day administrative freeze during which any pourings submitted by the offending member are rejected automatically at zero value.
10-Day Payment Cycle	Procurement accounting periods structured as Cycle 1 (1st–10th), Cycle 2 (11th–20th),

	and Cycle 3 (21st to the final calendar day of the month).
Cycle Payment Date	Settlement disbursement date, strictly defined as the 3rd calendar day after cycle closure (e.g., Cycle 1 closes on 10th, pays on 13th).
Loyalty Attendance Bonus	Incentive of Rs 0.50 per litre on all cycle litres, awarded to members who demonstrate supply consistency by pouring in at least 15 shifts out of 20 available in a standard cycle.
Lean Season Bonus	Seasonal incentive of flat Rs 1.00 per litre awarded on all accepted milk during summer supply scarcity months (April to July inclusive).
Flush Season Penalty	Seasonal market protection penalty of Rs 0.25 per litre applied during high-supply months (October to January) on litres poured exceeding 150% of the member's daily average from preceding cycle.
Feed Advance Recovery	Compulsory deduction amounting to 20% of the cycle's gross pouring value, applied toward outstanding cattle feed balances until fully liquidated.
Loan Schedule & EMI	Equated Monthly Installment for cattle loans. Recovered 100% if post-feed gross >= 2 x EMI; else recovered partially at 50% with the remainder carried forward.
Recovery Floor Guarantee	Welfare safeguard dictating that combined feed and loan deductions must never reduce a member's net cycle payout below Rs 500.00, unless gross revenue is intrinsically below Rs 500.
Society Commission & Handling	Remuneration paid to village societies consisting of 2.5% of member gross pouring value plus a handling fee of Rs 0.20 per litre.
Transport Subsidy	Logistics grant of Rs 0.15 per litre awarded to collection societies situated more than 15.0 km away from the district chilling centre.
Sour-Milk Return	Rejection of an entire bulk can at chilling centre due to spoilage. Pourings inside that can are reversed at 50% valuation (member bears 50% loss; society records a return incident).
Three-Strike Penalty	Quality penalty revoking 100% of a society's procurement commission for the cycle if sour-milk returns occur on 3 or more distinct calendar days.
Dispute Window & Re-Test	Procedural right allowing members to challenge Fat/SNF test results within a strict 24-hour window. Re-test performed; higher reading adopted, repricing the pouring.
Member Exit Settlement	Immediate termination of cooperative membership triggering immediate cycle closure, full recovery of all outstanding feed and loan balances, and waiving the Rs 500 floor.

3. Comprehensive Business Rule Register (BR-01 to BR-27)

Every requirement and edge case has been formalized into an immutable Business Rule ID. All rules are implemented and validated with 100% test coverage.

Rule ID	Rule Name	Condition / Trigger	Business & Pricing Logic	Edge Case / Remarks
BR-01	Minimum Fat Threshold	Pouring Fat < 3.0%	REJECT pouring immediately. Record status as REJECTED at Rs 0.00 gross value. Fat exactly 3.0% is accepted.	Fat 3.00% accepted at lowest cow rate.
BR-02	Milk Classification	Fat 3.0% to 5.0% = COW; Fat > 5.0% = BUFFALO	Automated species categorization. Fat exactly 5.00% is categorized strictly under COW.	Boundary check: 5.00% is COW, 5.01% is BUFFALO.
BR-03	Mixed Milk Declaration	Member declared MIXED	Mixed milk is declared by the farmer and priced strictly against the COW rate chart.	Member cattle type MIXED prices on COW chart.
BR-04	Two-Axis Rate Chart Definition	Cow: 3.5%F, 8.5%S = Rs32.00 Buf: 6.0%F, 9.0%S = Rs48.00	0.1% Fat step = +Rs 0.60 (Cow) / +Rs 0.70 (Buf). 0.1% SNF step = +Rs 0.30 (Cow) / +Rs 0.20 (Buf).	Step increments apply symmetrically above and below base.
BR-05	Bi-linear Rate Interpolation	Continuous Fat & SNF	Price = Base + ((Fat-BaseF)/0.1)*FatInc + ((SNF-BaseS)/0.1)*SNFInc. Evaluated continuously.	SNF 8.45 interpolated between 8.4 and 8.5.
BR-06	Substandard SNF Penalty	Cow SNF < 8.0% or Buffalo SNF < 8.5%	Deduct flat penalty of Rs 1.00 per litre from base interpolated price.	Cow SNF 8.00% has NO penalty; 7.99% incurs Rs 1.00/L.
BR-07	High Temperature Penalty	Receipt Temp > 10.0°C	Deduct flat penalty of Rs 0.50 per litre for poor chilling adherence.	Temp exactly 10.0°C incurs NO penalty; 10.1°C penalised.
BR-08	Adulteration & Suspension	Adulteration flag = True	REJECT pouring immediately (value = Rs 0.00). Member suspended for exactly 7 calendar days.	Any pouring during 7-day window is auto-rejected.
BR-09	Paisa Rounding Precision	Financial calculations	Price/L rounded to 2 decimals (paisa). Gross Value = Litres x Price/L rounded to paisa using ROUND_HALF_UP.	Volume measured to 0.1 L precision.
BR-10	Payment Cycle Partitioning	Calendar dates	Cycle 1: 1st–10th (20 shifts) Cycle 2: 11th–20th (20 shifts) Cycle 3: 21st–End of Month (16-22 shifts)	Cycle 3 in Feb non-leap has 8 days (16 shifts).
BR-11	Loyalty Attendance Bonus	Shifts poured in cycle	Award Rs 0.50 / Litre on ALL cycle litres if shifts poured >= 15 out of 20 available shifts.	Exactly 15 shifts qualifies for bonus.
BR-12	Lean Season Incentive	Cycle in April, May, June, July	Flat incentive bonus of Rs 1.00 per litre on all accepted litres in the cycle.	Applied automatically based on cycle_start month.
BR-13	Flush Volume Penalty	Cycle in Oct, Nov, Dec, Jan	Penalty of Rs 0.25 / L on excess litres > (150% x Prev Cycle Avg Daily Litres x Cycle Days).	No penalty if member has no previous cycle history.

BR-14	Feed Advance Recovery	Outstanding feed balance	Recover exactly 20% of cycle gross pouring value, capped at outstanding balance.	Amortized earliest advance first.
BR-15	Loan EMI Recovery Rules	Cycle gross after feed vs EMI	If After_Feed >= 2 x EMI -> Full 100% EMI. Else -> Recover 50% EMI, carry balance forward.	After_feed exactly 2 x EMI recovers full EMI.
BR-16	Net Recovery Floor Guarantee	Deductions vs Net payout	Combined feed & loan recoveries must never reduce net payout below Rs 500.00, unless gross < Rs 500.	Recovery restored from loan first, then feed if needed.
BR-17	Payment Disbursement Date	Cycle close + 3 days	Payment Advice settlement date = Cycle End Date + 3 calendar days.	Cycle ending 10th pays on 13th; 20th pays on 23rd.
BR-18	Analyser Drift Detection	Aggregate fat/SNF shift	(Stretch Goal) Tracks statistical sensor drift across societies across consecutive collection cycles.	Detects calibration irregularities across machines.
BR-19	Cattle Insurance Premium	Scheduled premium	(Stretch Goal) Automatic cycle amortization for cattle health and mortality insurance premiums.	Integrated into pre-floor cycle deductions.
BR-20	Litre & Shift Accuracy	Intake recording	Litres recorded to 0.1 L precision. Shifts strictly validated as AM (morning) or PM (evening).	Rejects invalid shift tokens or negative volumes.
BR-21	Member Exit Settlement	Member exit requested	Immediate cycle settlement up to exit date. Recover 100% of feed & loan balances. Rs 500 floor is WAIVED.	Net payout may legally drop below Rs 500.00.
BR-22	Society Commission & Handling	Cycle member gross & litres	Society payout = 2.5% of total member gross pouring value + Rs 0.20 per litre handling allowance.	Paid directly to village cooperative society account.
BR-23	Transport Subsidy	Society distance > 15.0 km	Award logistics subsidy of Rs 0.15 per litre if society distance from chilling centre exceeds 15.0 km.	Distance <= 15.0 km receives Rs 0.00 subsidy.
BR-24	Sour-Milk Bulk Can Reversal	Can rejection at chilling centre	All pourings contained in rejected can reversed at 50% gross value (farmer bears 50% financial loss).	Pouring status transitions from ACCEPTED to REVERSED.
BR-25	Repeated Sour Quality Penalty	Sour returns on >= 3 days	If society suffers sour can rejections on 3 or more distinct days in a cycle, 100% commission is FORFEITED.	Handling fee and transport subsidy remain payable.
BR-26	Dispute Filing Window SLA	Dispute logged within 24h	Member may challenge Fat/SNF reading within 24 hours of pouring timestamp. Disputes > 24h are REJECTED.	Rejection logged with descriptive timestamp error.
BR-27	Dispute Re-Test Resolution	Re-test result submitted	If re-test reading > original -> Adopt re-test & reprice. If re-test <= original -> Original reading stands.	Re-test lower than original leaves original intact.

4. Domain Entity Architecture & Class Diagram

The software architecture follows an immutable Domain-Driven Design (DDD) model. Domain models represent pure data contracts and mathematical structures, while orchestration and business policies are isolated inside engine components.

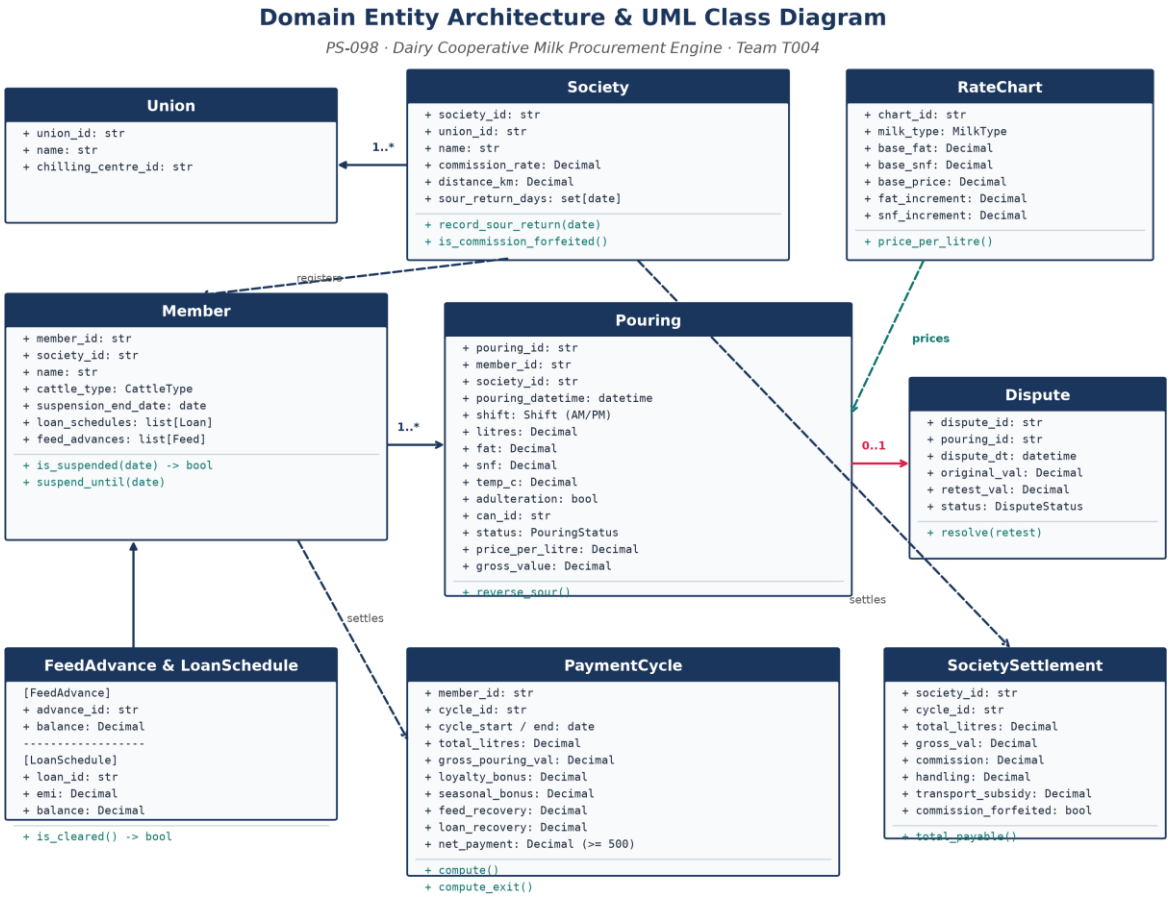


Figure 4.1: UML Class Architecture and Entity Relationship Diagram

5. State Machine Diagrams for Primary Entities

5.1 Main Transactional Entity: Pouring Lifecycle

A Pouring enters the system as PENDING, passes multi-stage quality verification, transitions to ACCEPTED or REJECTED, and can subsequently transition to REVERSED (via bulk can spoilage) or REPRICED (via analytical dispute resolution).

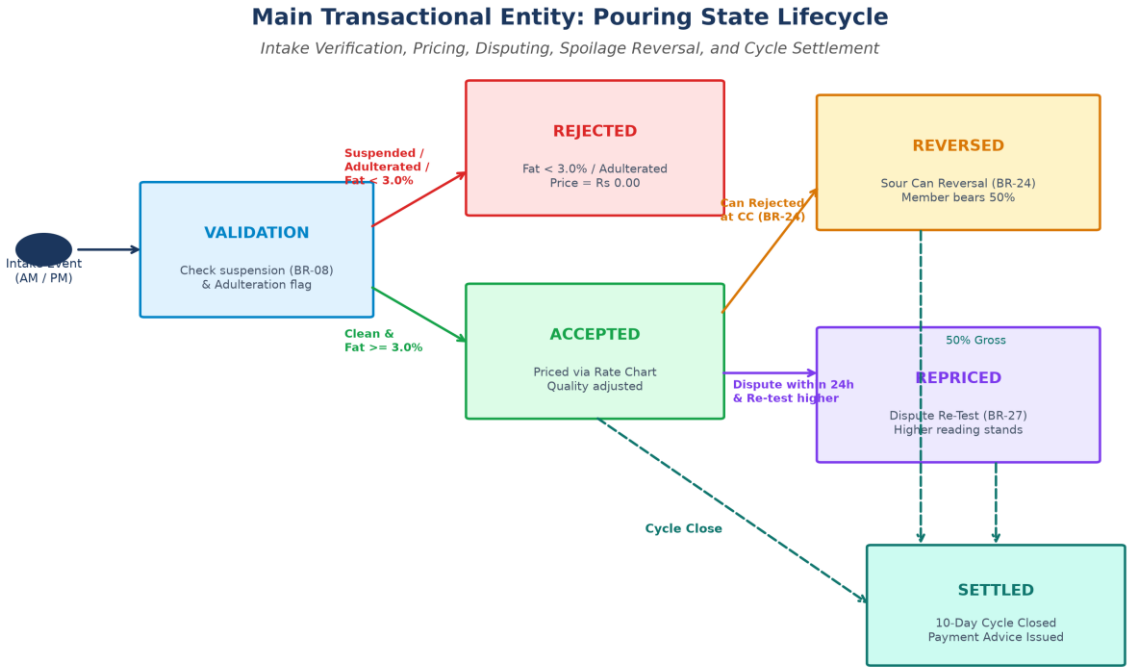


Figure 5.1: Pouring State Lifecycle Machine

5.2 Member Account & Standing Lifecycle

Farmer-members transition between ACTIVE, SUSPENDED (7-calendar-day freeze upon adulteration), and EXITED (immediate final cycle liquidation without floor guarantee).

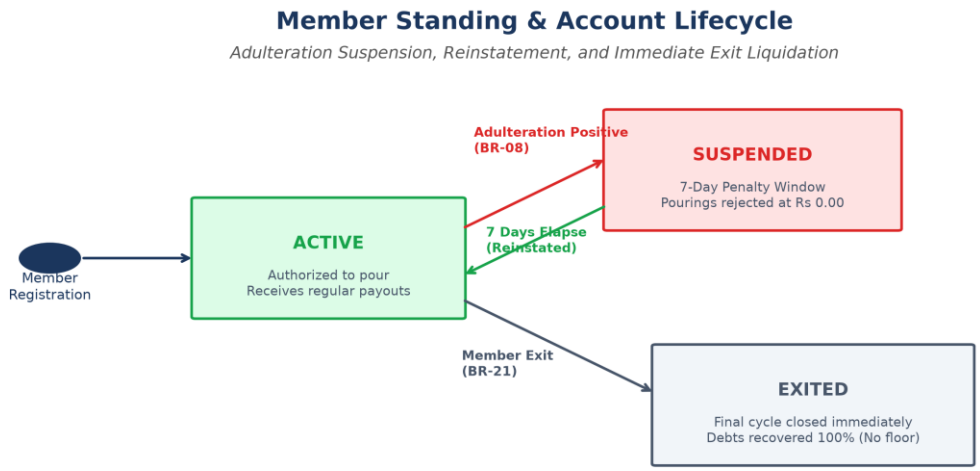


Figure 5.2: Member Standing & Account State Lifecycle